تام المالية
TAM CAPITAL

ANTI MONEY LAUNDERING COUNTER TERRORIST FINANCING (AML-CTF) POLICY

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GLOSSARY

This following table highlights and explains all key terms and abbreviations used in the document.

Term	Definition
Accounts	are to be read to include any business relationships between Capital Market Institution and its client
AMD	Asset Management Department
AML	Anti-Money Laundering
Attachment	means the provisional ban on transferring, exchanging, disposing with or moving funds and proceeds or attaching same pursuant to an order by a court or a competent authority.
Audit & Risk Committee	Audit & Risk Committee of TAM Capital
Banking Activities	Brokerage, Treasury and Investments, Asset Management, Corporate Finance,Marketing and Corporate Relations conducted by TAM C. (c)
Beneficial Owners	Refers to the natural person(s) who ultimately owns or controls a customer and/or thenatural person on whose behalf a transaction is being conducted. It also includes those persons who exercise ultimate effective control over a legal person or arrangement. This definition should also apply to "Ultimate beneficial ownership".
Business relationship	means professional or commercial relationship between a Capital Market Institution and a client. A relationship need not involve the Capital Market Institution in an actual transaction; giving advice shall also constitute establishing a business relationship.
CBB	Central Bank of Bahrain, the regulator of the financial institutions in Bahrain
CDD	Client Due Diligence
CEO	Chief Executive Officer of TAM Capital
CFT	Combating the financing of terrorism and measures designed to prevent the financialsupport of terrorism or those who encourage, plan or engage in terrorism
Chairman of the Board	Chairman of the Board of Directors of TAM Capital
CIF	Client Input Form
CIU	Collective Investment Undertaking
Client	refers to a customer, either natural or legal person and counterparty for whom a Capital Market Institution executes securities business.
CMA	Capital Market Authority, Kingdom of Saudi Arabia
CMI	A Capital Market Institution licensed by CMA, it was earlier referred to as "Authorised Person"

Term	Definition
Counter Party	a client who is a Capital Market Institution, an exempt person, an institution or a non-Saudi financial services firm.
CRU	Client Relationship Unit
MLRO	Money Laundering Reporting Officer of TAM Capital
EU	European Union
FATCA	The Foreign Account Tax Compliance Act
FATF	The Financial Action Task Force
FUNDS	means assets or properties of whatever value or type, material or non material, tangible or intangible movable or immovable, along with documents of whatever type including electronic or digital systems, and bank documents that refer to an ownership or interest such as every type of checks, transfers, shares, securities, bonds, promissory notes, and guarantee letters.
GCC	The Gulf Cooperation Council
GDFI	General Directorate of Financial Intelligence. A national center that receives information and reports related to crimes of money laundering, terrorist financing, predicate offenses, or proceeds of crime according to the Anti-Money Laundering Law, the Law on Combating Terrorism Crimes and Financing, and their Implementing Regulations. It was formerly known as SAFIU - Saudi Arabia Financial Intelligence Unit.
GIIN	The Global Intermediary Identification Number
Government	Government of the Kingdom of Saudi Arabia
IGA	An Intergovernmental Agreement
Iqama / national ID card	The identity card issued to both nationals and expatriates
IRS	US Internal Revenue Service
KYC	Know Your Client
MAF	Manual Amendment Form
Minor	A natural person who is not yet a legal adult (reaching the legal age of majority).
MLRO	The Money Laundering Reporting Officer of TAM Capital
Money Laundering	refers to committing or attempting to commit any act for the purpose of concealing or disguising the true origin of funds acquired by means contrary to Shari'ah or law, thus making the funds appear as if they had come from a legitimate source.
MVTS	Money or Value Transfer Service Providers

Term	Definition
NCCT	The Non Cooperative Countries or Territories
Non-profit Organizations	refers to every legal entity engages in collecting, receiving, or paying money for charitable, religious, cultural, educational, social, or solidarity purposes or that conduct other charitable activities.
OFAC	The Office of the Foreign Assets Control
OPD	Operations Department
PEP	"Politically Exposed Persons (PEPs)-PEPs refers to any of the following categories: Individuals who are or have been entrusted with prominent public functions domestically or in a foreign country, for example Heads of State or of government, senior politicians, senior government, judicial or military officials, senior executives of state owned corporations, and important political party officials. Persons who are or have been entrusted with a prominent function by a regional or international organization as members of senior management, including directors, deputy directors and members of the board or equivalent functions. The PEPs definition covers the family members or relatives of the individuals, and does not cover the middle ranking or more junior individuals in the foregoing categories."
PFFI	The Participating Foreign Financial Institutions
RM	The Relationship Manager of TAM Capital
Relevant Staff	All client facing staff as well as staff dealing with client documents and transactions of TAM Capital
SDN	Specially Designated Nationals
Senior Executives / Management	persons responsible for managing the daily operations of the Company, and proposing and executing strategic decisions, such as the Chief Executive Officer (CEO) and his delegates and the Chief Financial Officer (CFO).
STR	Suspicious Transaction Report
Terrorist financing	refers to the financing of terrorist acts, terrorists and terrorist organizations.
The Board	Board of Directors of TAM Capital
UNSCR 1373	UN Security Council Anti-Terrorism Resolution No. 1373 of 2001

1. Introduction

This Manual is applicable to the activities conducted by TAM Capital, referred to as "TC or "Company" throughout this document.

This Anti-Money Laundering (AML) / Combating the Financing of Terrorism (CFT) Manual sets out the requirements and procedures applicable to TC and all its subsidiaries, which all employees must understand and observe at all times.

1.1 Policy Objective

The objective of the Manual is to guide the employees in achieving the Group and TC's objective by complying with the applicable laws and regulations with respect to Anti-Money Laundering (AML), Combating the Financing of Terrorism (CFT) and Counter-Terrorist Financing (CTF). The applicable laws and regulations are as follows:

Law / Rules
Anti Money Laundering Law
Combating Terrorism and Financing of Terrorism Law
CMA Rules to Implement the CFT Law Provisions

The objectives of these Rules are that all Capital Market Institution (CMI) and registered persons must comply fully with the controls and procedures issued by the Capital Market Authority to ensure that:

(a) fully apply the laws and regulations as above and apply the requirements of the FATF's 40 Recommendations and 9 Special Recommendations dealing with anti-money laundering and combating the financing of terrorism, the International Convention for Suppression and Financing of Terrorism (New York 1999), the United Nations Convention on Illicit Traffic in Narcotic Drugs and Psychotropic Substances (Vienna 1988) and the United Nations Convention (against transnational) on Organized Crime (Palermo 2000) and UN Security Council Resolutions 1267 and 1373 and successor resolutions related to combating terrorist financing.

From TC perspective, the prevention of money laundering has three objectives:

a) Legal: to comply with Kingdom of Saudi Arabia and international legislation and regulations that impose a series of specific obligations on TC and its employees;
b) Professional: to ensure that TC is not involved in recycling the proceeds of crime that could call into questionits reputation, integrity and, if fraud is involved – its solvency;
c) Ethical: to take part in the fight against financial crime.

1.2 Ownership of the Manual

The primary ownership for implementation and maintenance of this Manual rests with the Money Laundering Reporting Officer (MLRO). The Manual shall be updated in the event of any key changes in the regulations and/or the policies and/or procedures outlined in this Manual.

All employees should ensure that they comply with the requirements of this Manual. All questions about this Manual and its application should be directed to either the MLRO or Deputy MLRO (DMLRO).

1.3 Policy Execution and Processes

The MLRO in consultation with the CEO is responsible to setup the necessary processes and procedures to execute the provisions of this Manual, including procurement of the relevant systems and technology / tools for complying with the provisions of this Manual.

1.4 Review and Approval of the Manual

The MLRO is required to carry out an annual assessment of this Manual and recommend updates, if required to the Chief Executive Officer (CEO). This is crucial to ensure on-going alignment with the strategy, business processes as well as regulatory guidelines. Any required change in the Manual should be made as per the approved Manual Amendment Procedure with final approval from the board of directors.

1.5 Employees Responsibilities

All Employees have the responsibility to report any violations of TC's AML compliance program to the MLRO. Such reports shall be confidential, and the employee shall suffer no retribution for making them.

TC holds all employees responsible for knowing and complying with the relevant AML rules and regulations. Each employee needs to acknowledge their understanding of the provisions of both the Group's and TC's AML requirements by signing the Employee Acknowledgement Form within 3 months of their joining as well as whenever any material updates are made to the Manual (refer Appendix B). The form would be included in the Employee Joiner's Kit and provided to all new employees by the Human Resources Department.

2. AML Management Framework

This chapter highlights the AML organization framework within TC. It also provides the organization structure for various functions under this Manual as part of overall activities of TC. The Board is the final authority in TC with respect to the overall AML management framework.

2.1 AML Governance

The overall AML governance structure is segregated into Board level and Management level committees. The following committees oversee the AML management function of TC:

2.1.1 Board Level Committee

The Audit and Risk Committee is responsible for maintaining a strong oversight over TC's practices in managing all regulatory risks, including AML.

Formation of Management Level Committees

Currently, TC has the Compliance and Risk Committee which shall provide guidance and assistance in the management of matters related to AML function.

The CEO may also form special task committees to assist him/her in the execution of his responsibilities.

2.2 AML Management Organization

Following sub-sections highlight the key roles and responsibilities of each department in the AML process:

2.2.1 Appointment of MLRO and DMLRO

TC shall appoint an MLRO, after obtaining prior approval from the CMA. The position of MLRO is performed by a registered person. The position of MLRO/DMLRO must not be combined with functions that create potential conflicts of interest, such as an internal auditor or business line head.

The MLRO shall:

a) Be a member of the TC's Senior Management;

b) Has a sufficient level of seniority within the Company, has the authority to act without interference from business line management and has direct access to the Board and Senior Management (where necessary);

c) Has sufficient resources, including sufficient time and (if necessary) support staff;

d) Has unrestricted access to all transactional information relating to any financial services provided by the TC to aclient, or any transactions conducted by the TC on

behalf of that client;

e) Is provided with timely information needed to identify, analyze and effectively monitor client accounts;

f) Has access to all Client Due Diligence (CDD) information obtained by the TC; and

g) Is resident in the Kingdom of Saudi Arabia.

In addition, TC must ensure that their MLRO is able to:

a) Monitor the day-to-day operation of its policies and procedures; and

b) Respond promptly to any reasonable request for information made by the AML /CFT Unit of the market Institutions department of the CMA.

If the position of MLRO falls vacant, TC shall appoint a permanent replacement (after obtaining CMA approval),within 120 calendar days of the vacancy occurring. In addition, the CEO must notify the Audit and Risk Committee and the CMA in writing, should the MLRO cease to hold his position; with the reasons for his departure. Pending the appointment of a permanent replacement, TC shall make immediate interim arrangements (including the appointment of an acting MLRO) to ensure continuity in the MLRO function's performance. These interim arrangements must be approved by the CMA.

The MLRO/DMLRO would functionally report to the Board Audit and Risk Committee.

2.2.2 Responsibilities of the MLRO

The MLRO is responsible for the following:

a) Develop, update and implement the TC's system, procedures and controls on AML/CFT.

b) Keep pace with developments in AML/CFT laws and regulations, trends, techniques, and update indicators of money laundering or terrorist financing.

c) Ensure that TC complies with its policies and procedures.

d) Suspicious Transaction Reports: Act as TC's main point of contact in respect of handling internal suspicious transaction reports from TC's staff and as the main contact for making external suspicious transactions reports to the SAFIU .

e) Prepare a report annually to the Board of the TC setting out all actions that have been taken to implement the internal policies, procedures and controls and proposals for increasing the effectiveness and efficiency of the procedures.

f) Ensure that staff of TC maintain all necessary records.

g) Client Due Diligence: Provide guidance / approval to Business functions on client due diligence, follow-up for completion of pendency and on-going monitoring of clients for required due diligence.

h) Staff AML Training: Take reasonable steps to establish and maintain adequate arrangements

for staff awareness and training on AML/CFT matters (whether internal or external).

i) Monitoring: On-going monitoring of clients classified as high-risk,

j) Record Keeping: Ensure that TC maintains all necessary CDD, transactions, Suspicious Transaction Reports (STR) and staff training records for the required periods.

k) Liaising with the Regulators: Respond promptly to any request for information made by the SAFIU and the CMA.

2.2.3 Role of the Relationship Managers (RMs) / Client Relationship Unit (CRU)

- New Client Accounts: Fill in the checklist of Know Your Client (KYC) documentation and obtain all the information as per requirements. Any missing information or documentation must be approved by the Senior Management with a specific date for obtaining these.
- While Executing Orders: Report to MLRO any matter that they believe would violate AML regulations.
- Quarterly Internal Reporting to MLRO: Submit a consolidated report to the MLRO at the end of every quarter that they continuously watch out for suspicious transactions and that they have not come across any suspicious transaction in that quarter that could violate the anti-money laundering regulation.
- Reporting Suspicious Activity: The RMs/CRU must report suspicious transaction activity, if any, to the MLRO without tipping off the client.
- New Client Relationship for Existing CIF – "Client Input Form" (but currently is not a client): It is possible that CIF was already obtained for a counterparty for reasons other than client relationship e.g., new security issuer, , etc., subsequently if such counterparty wants to become TC's client, (including ex- employees),then the RMs/CRU should ensure that KYC documentation is obtained at the time of entering into the new relationship.
- Periodic Review of Client Documentation: Due diligence is required to be carried out by the RMs/CRU while establishing the relationship with the client and must be reviewed and updated at least every three years. The RMs/CRU must review and update the client's CDD information at least every three years. If, upon performing sucha review, copies of identification documents are more than 12 months out of date, the RMs/CRU must take steps to obtain updated copies as soon as possible.

2.2.4 Role of the Operations Department

- New Client CIF Forms Processing: Verify 'KYC' checklist for completeness and ensure that all documentation have been obtained; this is required only when the CIF is for the 'client' or 'broker' and not where it relates to other types of counterparties such as new security issuer that accompanies new security definition form.
- Transactions for New Clients: The Operations Department must ensure that no transaction

is undertaken for new clients, unless all 'KYC' documentation have been obtained or an exception approval has been obtained from the Management as well as the MLRO.

- Wire Transfer Instructions: Ensure that all wire transfers received for clients include the client details; if there is any receipt without information on the originating client, the Operations Department should promptly obtain the same from the other Bank;
- Inform the MLRO: The MLRO shall be informed if there is receipt or payment or wire transfer (pertaining to client deals) to any bank account that does not belong to that client or, the bank is located in Financial Action Task Force(FATF) non-compliant region or as declared so by Office of Foreign Assets Control (OFAC).

2.2.5 Role of the Internal Auditor

The internal auditor of TC shall regularly and independently assess the effectiveness of TC's internal AML/CFT policies, procedures and controls and TC's compliance with the AML/CFT laws, rules and regulations based on the risk based approach methodology. In addition TC shall appoint a third party professional firm accredited by CAM to carry out an independent review of TC's compliance with AML / CFT laws, rules and regulations.

The Internal Audit department must has all the resources to conduct their audit on AML/CFT department.

3. Money Laundering & Terrorist Financing

3.3.1 Money Laundering

Money laundering is the process by which criminals attempt to conceal the origin of their funds and integrate them into the legitimate financial system.

Money is usually laundered through a complex series of transactions but, regardless of the method used, generally involves the following 3 stages which may also often overlap:

a) Placement: It is the physical disposal of cash proceeds derived from illegal activity into the financial system usually through a financial institution.

b) Layering: It involves the separation of illicit proceeds from their source by creating complex layers of transactionsdesigned to disguise the audit trail and provide anonymity thus severing the link to the initial illegal activity.

c) Integration: It is the provision of apparent legitimacy to criminally derived wealth. If the layering process has succeeded, integration places the laundered proceeds back into the economy with the appearance of legitimate funds.

3.3.2 Terrorist Financing

Financing of terrorism is the process by which terrorists provide, collect or receive funds (including clean money) intended for use in whole or part in order to carry out terrorist activity, whether in or outside the Kingdom of Saudi Arabia or other regions.

Terrorist financing takes place when terrorists use the financial markets to:

a) Carry on otherwise legitimate business of which the profits will be used to promote terrorism;

b) Finance bogus charities used to promote terrorists beliefs and causes;

c) Buy arms; and

d) Fund terrorist action.

Due to the supranational nature of acts of terrorism and financing required, the highest level of cooperation is necessary between designated bodies, regulatory authorities and law enforcement agencies. This could be subject to the regulatory fines, penalties and the reputation of TC and the Group can be seriously damaged if it is to become associated with enabling money laundering, either willingly or unwillingly.

3.3 Kingdom Of Saudi Arabia's AML Regime

TC is a CMI, licensed by the CMA with its head office located in Riyadh, Kingdom of Saudi

Arabia. TC aims to fully comply with the AML laws and regulations, which includes the following:

The Anti-Money Laundering Law issued by Saudi Arabia Cabinet Decision No. 80/1439, approving the Anti-Money Laundering Law (the "AML"), and its Implementing Regulations (the"Implementing Regulations"), published in 2017. This law supersedes Saudi Arabia Royal Decree No. M31/1433, the old Anti-Money Laundering Law. Royal Decree No. M / 31dated 11/05/1433H and its implementing Regulation;

United Nations (UN) Security Council

Anti-Terrorism resolution 1373 (2001) and Non Cooperative Countries or Territories (NCCT) Notifications issued by the U.N. Security Council.

Kingdom of Saudi Arabia, through its membership of the Gulf Cooperation Council (GCC), is also a member of the FATF, an international body established in 1989 to develop and promote policies, both at national and international levels, to combat money laundering and terrorist financing.

The regulations implemented by the KSA in relation to combating money laundering and terrorist financing comply with the recommendations on Terrorist Financing (known as the '40 recommendations') issued by the FATF. It is the policy of TC to apply the Saudi anti Money Laundering and CFT law Regulations as the basis for client identification, verification of sources of funds and the on-going monitoring and reporting of suspicious transactions.

3.4 TC as a CMI and its Board, management and employees responsibilities

TC and its employees must avoid committing the following acts:

Committing & Knowingly Assisting

It is an offence to conduct a transaction or provide assistance to another person to obtain, conceal, retain or invest proceeds of criminal activity knowing or suspecting the other person has benefited from their criminal conduct.

Failure to Report

Any employee who knows or suspects another person is engaged in money laundering must report this to the MLRO, who must consider any report in the light of all other relevant information to determine whether it gives rise to an obligation to disclose to the CMA AML/CFT Unit and or to the GDFI.

Tipping Off

It will be an offence for anyone to take action likely to prejudice an investigation by informing

the suspected person or any other person that a disclosure has been made or that the authorities are pursuing an investigation.

3.5 Sanction for not following the AML / CFT law

TC and its Board of directors, senior management and employees are subject to sanctions for not following the AML/CFT laws, rules and regulations, which is as follows

Without prejudice to any stricter sanctions and subject to the procedures provided for in other laws, if the supervisory authority find that FIs, DNFBPs, and NPOs or any of their directors, board members, executive or supervisory management members failed to comply with any provision of this Law, its Implementing Regulation or relevant decisions or circulars, or any violation referred from other competent authority, the supervisory authority may impose one or more of the following measures:

a. Issue a written warning;

b. Issue an order to comply with a specific instruction;

c. Issue an order to provide regular reports on the measures taken to address the identified violation;

d. Impose a monetary fine of up to 5.000.000 riyals per violation;

e. Ban individuals from employment within the sectors for which the supervisory authority has competences for a period to be determined by the supervisory authority;

f. Restrict the powers of directors, board members, executive or supervisory management members, and controlling owners, including appointing one or more temporary controllers;

g. Dismiss or replace the directors, members of the Board of Directors or of executive or supervisory management;

h. Suspend, restrict or prohibit the continuation of the activity, business or profession or of certain business activities or products;

i. Suspend, restrict or revoke the license;

3.6 Penalty for participating in an AML offence

TC and its Board of directors, senior management and employees are subject to criminal action and penalties as provided for in the law and reproduced as below:

Article 26

Whoever committing a crime of money laundering, as stipulated in Article 2 of the present Law, shall be subject to imprisonment for a period up to ten years and no less than two years, as well as a fine not exceeding five million riyals or both.

Article 27

Whoever committing a crime of money laundering, as stipulated in Article 2 of the Law, shall be subject to imprisonment for a period up to fifteen years and no less than three years, as well as a fine not exceeding seven million riyals or both if the crime accompanied by any of the following :

- Commits the crime through an organized crime syndicate;
- Uses violence or weapons
- Occupied a public office and the crime is connected thereto or if such person abuses his/her powers or influence in committing the crime;
- Trafficking in human beings;
- Exploits persons or minors and the like;
- Commits the crime through a correctional, charitable or educational institution or in a social service facility; or
- Has a prior conviction in the Kingdom or abroad.

Article 28

A Saudi national who has served his term of imprisonment due to money laundering crime shall be barred from travelling outside the Kingdom for a period equal to the term of imprisonment served.

Non-Saudis shall be deported from the Kingdom upon execution of their penalty with no possibility of return to the Kingdom.

Article 29

The court may reduce the sentence of the convicted person as clarified in Article 30, if perpetrator reports to authorities about the money laundering crime, before they have knowledge, other perpetrators to the crime, and if such reporting leads to arresting the perpetrators or seizing crime instrumentalities or proceeds.

Article 30

Penalties stipulated in Article 26 may be reduced as per the legal decided circumstances to be

imprisonment for a period up to seven years and no less than one year, as well as a fine not exceeding three million riyals or both,if the perpetrator of the offense provides competent authorities with information they would not have otherwise obtained so as to assist them in:

a. preventing the commission of another money laundering offense or limiting the effects of the offense;

b. identifying or prosecuting other perpetrators of the offense;

c. obtaining evidence;

d. depriving a criminal organization of funds over which the defendant has no right or control.

Article 31

Without prejudice to the criminal liability of a natural person, any legal person that commits a money laundering offense shall be punished by a fine of no more than 50 million riyals and no less than the equivalent of the double of full value of the funds that were the objects of the offense.

A legal person may also be prohibited permanently or temporarily from engaging in certain licensed activities, directly or indirectly, or be ordered to close down its offices, permanently or temporarily, that were used in conjunction with the commission of the offense, or an order be made to liquidate the business.

Article 32

The verdict may include publishing a summary of the verdict in local gazette issued at convicted premises, and on the criminal cost. In the case of no gazette issued at the convicted premises, it shall be in another gazette at the nearest area to the convicted premises, or published in another proper means, as per the type of crime, significance and its effect. The publication shall occurr after the final court verdict.

4. Due Diligence Process

4.1 Overview of Customer Due Diligence (CDD) Process

CDD and monitoring obligations imposed by the local and global regulations and requirements are designed to make it more difficult for the financial services industry to be used for money laundering and terrorist financing.

CDD measures enable TC to form a reasonable certainty that it knows the true identity of each client and, with an appropriate degree of confidence, know the types of business and transactions the client is likely to undertake.

TC is required by law to carry out CDD and monitoring for two broad reasons:

d) To help TC be reasonably satisfied that clients are who they claim to be, to know whether they are acting on behalf of another person, and that there is no legal barrier (e.g. government sanctions) providing them with the product or service requested; and

e) To enable TC to assist law enforcement, by providing available information on clients or activities being investigated.

The extent of CDD to be carried out is dependent upon the AML/CFT risks associated with the type of client, business relationship, product or transaction. Due diligence is required to be carried out while establishing the relationship with the client and must be reviewed and updated periodically say once in three years and or when substantial changes such as client ownership, significant increase in transaction values and volumes, etc.

4.2 CDD

General Requirements

The CDD must be carried out when:

i. Establishing business relations with a new or existing client;
ii. A change to the signatory or beneficiary of an existing account or business relationship is made;
iii. A significant transaction takes place;
iv. There is a material change in the way that the client account is operated or in the manner in which the business relationship is conducted;
v. Client documentation standards change substantially;
vi. There are doubts about the veracity or adequacy of previously obtained CDD information;
vii. Carrying out wire transfers irrespective of amount; or
viii. There is a suspicion of money laundering or terrorist financing.

The RMs/CRU must understand, and as appropriate, obtain information on the purpose and intended nature of the business relationship.

The RMs/CRU and OPD must conduct on-going due diligence on the business relationship and scrutiny of transactions undertaken throughout the course of that relationship to ensure that the transactions being conducted are consistent with TCs' knowledge of the client, their business and risk profile, and the source of funds and ensure that documents, data or information collected under the CDD process is kept up-to-date and relevant, by undertaking reviews of existing records, particularly for higher risk categories of customers.

Verification of Third Parties

The RMs/CRU must obtain a signed statement from all new clients (or for one-off transactions above the threshold) confirming whether or not the client is acting on their own behalf or not. This undertaking must be obtained prior to conducting any transactions with the client concerned.

Where a client is acting on behalf of a third party, the RMs/CRU must also obtain a signed statement from the third party, confirming they have given authority to the client to act on their behalf. Where the third party is a legal person, the RMs/CRU and Operations must also sight the original Board resolution (or other applicable document) authorising the client to act on the third party's behalf, and retain a certified copy.

(Note: the above mentioned are covered as part of the standard account opening agreement)

The RMs/CRU must establish and verify the identity of the client and (where applicable) the party/parties on whose behalf the client is acting, including the Beneficial Owner of funds. Verification must take place in accordance with the requirements specified in this Manual.

Where financial services are provided to minor or other person lacking full legal capacity, the normal identification procedures must be followed. In case of minors, TC must additionally verify the identity of the parent(s) or legal guardian(s). where a third party on behalf of a person lacking full legal capacity wishes to open an account, TC must establish the identity of that third party as well as the intended account holder.

Payments to Third Parties: Transactions involving payment by TC to a third party require prior approval from the MLRO. In such cases, the RMs/CRU and OPD must ensure that proper due-diligence has been conducted on the third party, including securing copies of its KYC documents, which shall form the basis of the MLRO's approval for the payment. Additionally, for third party payments pertaining to a high-risk country, the MLRO shall also consult the respective unit heads (i.e. from RMs/CRU, AMD and Securities) and ensure necessary due-diligence has been performed, so as to mitigate any money laundering or fraud risk.

Anonymous and Nominee Accounts

TC must not establish or keep anonymous accounts or accounts in fictitious names. Where TC maintains a nominee account, which is controlled by or held for the benefit of another person, the

identity of that person must be disclosed to TC, as and when requested by TC and it would then be subject to verification.

Timing of Verification - Companies under Formation or New Arrivals

TC must not commence a business relationship or undertake a transaction with a client before completion of the relevant CDD measures. However, verification may be completed after receipt of funds in the case of:

Saudi companies under formation which are being registered with the relevant regulatory authority; or non-face-to-face business, or the subsequent submission of CDD documents by the client after initial face-to face contact, provided that no disbursement of funds takes place in any of the above cases until after the CDD requirements have been met.

Incomplete CDD

Where the RMs/CRU are unable to comply with the CDD requirements, they must consider whether to terminate the relationship, or not proceed with the transaction, and additionally, consider whether to freeze any funds received and file a suspicious transaction report; or to return the funds to the client/counterparty in the same method as received.

Non-Resident Accounts

Accounts opened for GCC nationals, not resident in Kingdom of Saudi Arabia, are subject to the CDD measures outlined as applicable for face-to-face business (refer to Section 4.2.7) or non-face-to-face business (refer to Section 4.3.2). Where a client is resident outside of the GCC, enhanced CDD must be performed on those clients identified as having a high risk profile, and additional inquires made or information obtained in respect of those clients.

Where a non-resident account is opened, the client must be informed by TC of any services which may be restricted or otherwise limited, as a result of their non-resident status.

Face-to-face Business

I. Natural Persons

If the client is a natural person, the RM/CRU must obtain and record the following information (in hard copy or electronic form), before providing financial services or engaging in one-off transactions above threshold:

a) Full legal name and any other names used;
b) Full permanent address (i.e. the residential address of the client; a post office box is insufficient);
c) Date and place of birth;
d) Nationality;

e) Passport number (if the client is a passport holder);

f) Iqama number (for residents of Saudi or GCC states);

g) Telephone/fax number and email address (where applicable);

h) Occupation or public position held (where applicable);

i) Employer's name and address (if self-employed, the nature of the self-employment);

j) Type of account, and nature and volume of anticipated business dealings with TC;

k) Signature of the client(s); and

l) Source of funds (the client's bank statement is to be examined to verify the source of funds).

The RMs/CRU must verify the information stated under (a) to (f) of the above paragraph by the following methods; by obtaining the copies of at least two identification documents mentioned in (a) and (b), of which at least one must include a clear photograph of the client (all documents carrying expiry dates must be verified to ensure that the same are valid):

a) Confirmation of the date of birth and legal name, by taking a copy of a current valid official original identification document (e.g. birth certificate, passport, Iqama);

b) Confirmation of the permanent residential address by taking a copy of a recent utility bill, bank statement or similarstatement from another licensee or financial institution, or some form of official correspondence or official documentation card, such as Iqama, from a public/governmental authority, or a tenancy agreement or record of homevisit by an official of TC; and

c) Where appropriate, direct contact with the client by phone, letter or e-mail to confirm relevant information, such as residential address information.

Any document copied for the purpose of identification verification must be an original. The RMs/CRU must certify the copy, by writing on it the words 'original sighted', together with the date and his signature. Equivalent measures must be taken for electronic copies.

Identity documents which are not obtained in original form (e.g. due to a client sending a copy by post following an initial meeting) must instead be certified by one of the following from a GCC or Financial Action Task Force (FATF) member state:

a) A lawyer;
b) A notary;
c) A chartered/certified accountant;
d) An official of a government ministry;
e) An official of an embassy or consulate; or
f) An official of another licensed financial institution or of TAM's associate Company.

The individual making the certification must give clear contact details (e.g. by attaching a business card or company stamp). The RMs/CRU must verify the identity of the person providing the certification through checking membership of a professional organization (for lawyers or accountants), or through checking against databases/websites, or by direct phone or email contact.

II. Legal Entities or Legal Arrangements (such as trusts)

If the client is a legal entity or a legal arrangement such as a trust, the relevant client facing staff such as the RMs/CRU must obtain and record the following information from original identification documents and databases, in hard copy or electronic form, to verify the client's legal existence and structure:

m) The entity's full name and other trading names used;

n) Registration number (or equivalent);

o) Legal form and proof of existence;

p) Registered address and trading address (where applicable);

q) Type of business activity;

r) Date and place of incorporation or establishment;

s) Telephone, fax number and email address;

t) Regulatory body or listing body (for regulated activities such as financial services and listed companies);

u) The names of the relevant persons having a senior management position in the legal entity or legal arrangement;

v) Name of external auditor (where applicable);

w) Type of account, nature and volume of anticipated business dealings with the Group; and

x) Source of funds (the client's bank statement is to be examined to verify the source of funds).

The information provided above must be verified by obtaining certified copies of the following documents, as applicable (depending on the legal form of the entity):

a) Certificate of incorporation and/or certificate of commercial registration or trust deed;

b) Memorandum of association;

c) Articles of association;

d) Partnership agreement;

e) Board resolution seeking the specified services (only necessary in the case of private or unlisted companies);

f) Identification documentation of the authorized signatories to the account;

g) Copy of the latest financial report and accounts, audited where possible (audited copies do not need to be certified);and

h) List of authorized signatories for the account and a Board resolution (or other applicable document) authorizing thenamed signatories or their agent to operate the account (resolution only for private or unlisted companies).

For customers that are legal persons, TC must identify and take reasonable measures to verify the

identity of beneficial owners through the following information:

a) The identity of the natural person(s) who ultimately have a controlling ownership interest in a legal person, and
b) To the extent that there is doubt under (a) as to whether the person(s) with the controlling ownership interest is the beneficial owner(s), or where no natural person exerts control of the legal person or arrangement through other means; and
c) Where no natural person is identified under (a) or (b) above, the identity of the relevant natural person who holds the senior management position.

Documents obtained to satisfy the above mentioned requirements must be duly certified. Also, the documents listed above are not exhaustive, such as for clients from overseas jurisdictions, documents of an equivalent nature may be produced as satisfactory evidence of a client's identity. In such cases, the MLRO could be contacted to obtain necessary clarifications.

Further, the above mentioned documentary requirements do not apply in the case of FATF/GCC listed companies. The RMs/CRU must also obtain and document the following due diligence information:

a) Enquire as to the structure of the legal entity or trust sufficient to determine and verify the identity of the ultimate beneficial owner of the funds, the ultimate provider of funds (if different), and the ultimate controller of the funds (ifdifferent);
b) Ascertain whether the legal entity has been or is in the process of being wound up, dissolved, struck off or terminated;
c) Obtain the names, country of residence and nationality of Directors or partners (only necessary for private or unlisted companies);
d) Require, through new client documentation or other transparent means, updates on significant changes to corporate ownership and/or legal structure;
e) Obtain and verify the identity of shareholders holding 20% or more of the issued capital (where applicable). Therequirement to verify the identity of these shareholders does not apply in the case of FATF/GCC listed companies;
f) In the case of trusts or similar arrangements, establish the identity of the settler(s), trustee(s), and beneficiaries(including making such reasonable enquiries as to ascertain the identity of any other potential beneficiary, in addition to the named beneficiaries of the trust); and
g) When there are reasonable grounds to question authenticity of information supplied by client, additional due diligence should be conducted to confirm the information.

For the above purpose, acceptable means of undertaking such due diligence might include the RMs/CRU taking bank references; visiting or contacting the Company by telephone; undertaking a Company search or other commercial enquiries; accessing public and private databases (such as stock exchange lists); making enquiries through a business information service or credit bureau; confirming a Company's status with an appropriate legal or accounting firm; or undertaking other enquiries that are commercially reasonable.

4.3 Enhanced CDD

General Requirements

Enhanced CDD must be performed on those clients identified as having a higher risk profile, and additional inquiries made or information obtained in respect of those clients.

The additional information may include documents (either in hard copy or electronic format) relating to the following:

a) A personal reference (e.g. by an existing client);
b) Another licensed entity's reference and contact with the concerned licensee regarding the client;
c) Documentation outlining the client's source of wealth;
d) Documentation outlining the client's source of income; and
e) Independent verification of employment, or public position held.

Additional enhanced due diligence measures for non-GCC non-resident account holders, if any, may include thefollowing:

a) References provided by a regulated bank from a FATF country;
b) Certified copies of bank statements for a recent 3-month period; or
c) References provided by a known client of the company.

Non Face-to-Face Business and New Technologies

TC must verify customer identity where no face-to-face contact takes place. Where no face-to-face contact takes place, additional measures (to those specified in Section 4.2) must be undertaken in order to mitigate the potentially higher risk associated with such business. In particular, the following:

f) To ensure that the client is the person they claim to be; and
g) To ensure that the address provided is genuinely the clients.

There are a number of checks that can provide with a reasonable degree of assurance as to the authenticity of the applicant. They include:

a) Telephone contact with the applicant on an independently verified home or business number;
b) With the client's consent, contacting an employer to confirm employment, via phone through a listed number or inwriting; and
c) Salary details appearing on recent bank statements.

Financial services provided via post, telephone or internet pose greater challenges for client identification and AML/CFT purposes. Adequate controls must be in place to prevent the misuse

of technological developments in money laundering or terrorist financing schemes. TC must also comply with any e-commerce laws and/or CMA directives or regulations issued from time to time.

The MLRO must identify and assess money laundering or terrorist financing risks that may arise, especially in relation to the following:

a) The development of new products and new business practices, including new delivery mechanisms, and

b) The use of new or developing technologies for both new and pre-existing products.

For above purpose, such a risk assessment must take place prior to the launch of the new products, business practicesor the use of new or developing technologies. Appropriate measures to manage and mitigate those risks must be undertaken.

Politically Exposed Persons (PEPs)

PEPs refers to any of the following categories:

Individuals who are or have been entrusted with prominent public functions domestically or in a foreign country, for example Heads of State or of government, senior politicians, senior government, judicial or military officials, senior executives of state owned corporations, and important political party officials.

Persons who are or have been entrusted with a prominent function by a regional or international organization as members of senior management, including directors, deputy directors and members of the board or equivalent functions.

The PEPs definition covers the family members or relatives of the individuals, and does not cover the middle ranking or more junior individuals in the foregoing categories."

While reviewing the account opening documents, the MLRO uses the Dow Jones system to determine whether a client or beneficial owner is a domestic PEP or a person who is or has been entrusted with a prominent function by an international organization, both at the time of establishing business relations and thereafter on a periodic basis. The MLRO also utilises publicly available databases and information, on best effort basis, to establish whether a client is PEP.

Taking into account the reputational and other risks involved in dealing with PEPs, approval of Senior Management, must be obtained before PEP is accepted as a client.

Where an existing client is PEP, or subsequently becomes PEP, enhanced monitoring and CDD measures must include:

a) Analysis of complex financial structures, like including trusts, foundations or international business corporations;

b) A written record in the client file to establish that reasonable measures have been taken to

establish both the source of wealth and the source of funds;

c) Development of a profile of anticipated client activity, to be used in on-going monitoring;

d) Approval of Senior Management for allowing the client relationship to continue; and

e) On-going account monitoring of PEP's account by Senior Management (such as the MLRO).

In cases of higher risk business relationships the measures referred to in (b), (d) and (e) above, must be applied.

The requirements for all types of PEP must also apply to family or close associates of such PEPs. Family means spouse, father, mother, sons, daughters, sisters and brothers. Associates are persons associated with a PEP whether such association is due to the person being an employee or partner of the PEP or of a firm represented or owned by the PEP,or family links or otherwise.

Non-profit organizations such as Charities, Clubs and Other Societies

Accounts must not be opened for charitable funds and religious, sporting, social, cooperative and professional societies until an original certificate authenticated by the relevant Ministry confirming their identities and authorizing them to open an account has been obtained.

Pooled Funds

Where TC receives pooled funds managed by professional intermediaries(such as investment and pension fund managers, stockbrokers and lawyers or authorized money transferors), it must apply CDD measures to the professional intermediary. In addition, the RMs/CRU must verify the identity of the beneficialowners of the funds.

Where funds pooled in an account are not co-mingled (i.e. where there are 'sub-accounts' attributable to each beneficiary), all beneficial owners must be identified and verified by the RMs/CRU.

For accounts held by intermediaries resident in Saudi Arabia, where such funds are co-mingled, the RMs/CRU must (in thecontext of the nature and amount of the funds received) look beyond the intermediary and determine the identity of thebeneficial owners or underlying clients, particularly where funds are banked and then transferred onward to other financial institutions (e.g. in the case of accounts held on behalf of authorized money transferors). Where, however, theintermediary is subject to equivalent regulatory and money laundering regulation and procedures (and, in particular, issubject to the same due diligence standards in respect of its client base) it is not mandatory to insist upon all beneficial owners being identified provided the RMs/CRU has undertaken reasonable measures to determine that the intermediaryhas engaged in a sound client due diligence procedures.

In addition to the rules outlined above, for accounts held by intermediaries from foreign jurisdictions, the RMs/CRU mustdetermine that the intermediary is subject to requirements to combat money laundering and terrorist financing consistent with the FATF Recommendations and the intermediary is supervised for compliance with those requirements. The RMs/CRU must obtain documentary evidence to support the case for not carrying out CDD measures beyond identifying the

intermediary. The RMs/CRU must satisfy itself that the intermediary has identified the underlying beneficiaries and has the systems and controls to allocate the assets in the pooled accounts to the relevant beneficiaries.

Where the intermediary is not empowered to provide the required information on beneficial owners (e.g. lawyers boundby professional confidentiality rules) or where the intermediary is not subject to the same due diligence standards referred to above, The RMs/CRU must not permit the intermediary to open an account or allow the account to continueto operate, unless specific permission has been obtained in writing from the CMA.

4.4 Correspondent Banking Relationships

The CDD measures mentioned in Section 4.3 must be carried out in the normal way on the correspondent bank (subject tothe simplified measures applicable for FATF/GCC banks).

The following information must be obtained before TC enters into any correspondent banking relationship:

a) Information about the bank's ownership structure and management;

b) Major business activities of the respondent and its location (i.e. whether it is located in a FATF compliant jurisdiction) as well as the location of its parent (where applicable);

c) Where the clients of the respondent bank are located;

d) The respondent's AML/CFT controls;

e) The purpose for which the account will be opened;

f) Confirmation that the respondent bank has verified the identity of any third party entities that will have direct accessto the correspondent banking services without reference to the respondent bank (e.g. in the case of 'payable through' accounts);

g) The extent to which the respondent bank performs on-going due diligence on clients with direct access to the account, and the condition of bank regulation and supervision in the respondent's country (e.g. from published FATF reports). The OPD should take into account the country where the respondent bank is located and whether that country abides by the FATF Recommendations when establishing correspondent relationships with foreign banks. The OPD / MLRO should obtain where possible copies of the relevant laws and regulations concerning AML/CFT and satisfy themselves that respondent banks have effective CDD measures consistent with the FATF Recommendations;

h) Confirmation that the respondent bank is able to provide relevant client identification data on request; and

i) Whether the respondent bank has been subject to a money laundering or terrorist financing investigation.

The RMs/CRU must implement the following additional measures, prior to opening a correspondent bankingrelationship:

a) Complete a signed statement that outlines the respective responsibilities of each institution in

relation to money laundering detection and monitoring responsibilities; and

b) Ensure that the correspondent banking relationship has the approval of Senior Management.

TC will not enter into or continue a correspondent banking relationship with a bank incorporated in a jurisdiction in which it has no physical presence and which is unaffiliated with a regulated financial group. TC will pay particular attention when entering into or continuing relationships with respondent banks located in jurisdictions that have poor KYC standards or have been identified by the FATF as being 'non-cooperative' in the fight against money laundering/terrorist financing.

4.5 Introduced Business from Professional Intermediaries

The RMs/CRU must only accept clients introduced to it by other financial institutions or intermediaries, if it has satisfied itself that the financial institution or intermediary concerned is subject to FATF-equivalent measures and CDD measures. Where the RMs/CRU delegates part of the CDD measures to another financial institution or intermediary, the responsibility for meeting the requirements of CDD remains with the RMs/CRU and not the financial institution or intermediary.

The RMs/CRU may only accept introduced business if all of the following conditions are satisfied:

a) The client due diligence measures applied by the introducer are consistent with those required by the FATF Recommendations;
b) A formal agreement is in place defining the respective roles of By TC and the introducer in relation to client due diligence procedures and the agreement specifies that the client due diligence measures of the introducer will comply with the FATF Recommendations;
c) The introducer is able to provide all relevant data pertaining to the client's identity, the beneficial owner of the funds and, where applicable, the party or parties on whose behalf the client is acting;
d) The introducer has confirmed that TC will be allowed to verify the client due diligence measures undertaken by the introducer at any stage; and
e) Written confirmation is provided by the introducer confirming that all clients due diligence measures required by the FATF Recommendations have been followed and the client's identity established and verified. In addition, the confirmation must state that any identification documents or other client due diligence material can be accessed by the Bank and that these documents will be kept for at least ten years after the business relationship has ended.

The RMs/CRU must perform periodic reviews ensuring that any introducer on which it relies is in compliance with the FATF Recommendations. Where the introducer is resident in another jurisdiction, the MLRO must also perform periodic reviews to verify whether the jurisdiction is in compliance with the FATF Recommendations.

Should the RMs/CRU not be satisfied that the introducer is in compliance with the requirements of the FATF Recommendations, the RMs/CRU must conduct its own CDD on introduced business, or not accept further introductions, or discontinue the business relationship with the introducer.

4.6 Cross Border Cash Transactions by Courier

The Group as a matter of policy shall not to undertake any cross border cash transactions by courier.

4.7 Shell Banks

TC must not establish business relations with banks, which have no physical presence or 'mind and management' in the jurisdiction in which they are licensed and which are unaffiliated with a regulated financial group ('shell banks'). In addition, TC will not establish relationships with any banks that are known to have relations with shell banks. MLRO must make a suspicious transaction report to the Saudi Arabian Financial Investigation Unit – SAFIU- if they are approached by a shell bank or an institution it suspects of being a shell bank.

4.8 Simplified CDD

TC may apply simplified CDD measures, if:

a) The client is the CMA, Tadawul or a licensee of the CMA;
b) The client is a Ministry of a Gulf Cooperation Council ('GCC') or Financial Action Task Force ('FATF') member state government, a Company in which a GCC or FATF government is a majority shareholder, or a Company establishedby decree in the GCC;
c) The client is a Company listed on a GCC or FATF member state stock exchange (where the FATF state stock exchange has equivalent disclosure standards to those of the Tadawul);
d) The client is a financial institution whose entire operations are subject to AML/CFT requirements consistent with the FATF Recommendations and it is supervised by a financial services supervisor in a FATF or GCC member state for compliance with those requirements;
e) The client is a financial institution which is a subsidiary of a financial institution located in a FATF or GCC member state, and the AML/CFT requirements applied to its parent also apply to the subsidiary;
f) The client is a borrower in a syndicated transaction where the agent bank is a financial institution whose entire operations are subject to AML/CFT requirements consistent with the FATF Recommendations and it is supervised by a financial services supervisor in a FATF or GCC member state for compliance with those requirements.

For clients falling under above categories (a-f), the information required for natural persons or legal entities must be obtained. However, the verification and certification requirements and the due diligence may be dispensed with. Where the account is a correspondent banking relationship, enhanced due diligence applies.

If the simplified due diligence measures are to be followed, the OPD must retain documentary evidence supporting the categorization of the client. Examples of such documentary evidence may include a printout from a regulator's website, confirming the licensed status of an institution, and internal papers attesting to a review of the AML/CFT measures applied in a jurisdiction.

The OPD may use authenticated SWIFT messages as a basis for confirmation of the identity of a financial institution where it is dealing as principal. For clients coming under Section 4.5 (d) and (e), the RMs/CRU must also obtain and retain a written statement from the parent institution of the subsidiary concerned, confirming that the subsidiary is subject to the same AML/CFT measures as its parent.

Simplified CDD measures shall not be applied where TC knows, suspects, or has reason to suspect, that the applicant is engaged in money laundering or terrorism financing or that the transaction is carried out on behalf of another person engaged in money laundering or terrorism financing.

For Entities Operating under Regulatory Sandbox. TC must:

- Understand, and as appropriate, obtain information on the purpose and intended nature of the business relationship.
- Establish specific procedures for verifying the identity of their customers and the source of their funds where no face to face contact takes place.
- Not commence a business relationship or undertake a transaction with a customer before completion of the relevant customer due diligence measures.
- Conduct ongoing due diligence on the business relationship and scrutiny of transactions undertaken throughout the course of that relationship to ensure that the transactions being conducted are consistent with the institution's knowledge of the customer, their business and risk profile, including, where necessary, the source of funds.

TC must obtain and record the following information from original identification documents, databases or websites, in hard copy or electronic form, to verify the customer's legal existence and structure:

(a) The entity's full name and other trading names used;

(b) Registration number (or equivalent);

(c) Legal form;

(d) Registered address and trading address (where applicable);

(e) Type of business activity;

(f) Date and place of incorporation or establishment;

(g) Telephone, fax number and email address;

(h) Type of account, and nature and volume of anticipated business dealings with the bank; and

(i) Source of funds.

The information above must be verified by obtaining certified copies of the following documents, as applicable(depending on the legal form of the entity):

(a) Certificate of incorporation and/or electronic certificate of commercial registration or trust deed;

(b) Partnership agreement;

(c) Identification documentation of the authorized signatories of the account; and

(d) Where applicable, copy of the latest financial report and accounts, audited (audited copies do not need to be certified);

(e) Copy of CMA's approval to operate under the CMA's Regulatory Sandbox.

(f) Copy of CMA approval to Open the Account

Any document copied for the purpose of identification verification must be an original. An authorised official of TC must certify the copy, by writing on it the words 'original sighted', together with the date and his signature. Equivalent measures must be taken for electronic copies.

Identity documents which are not obtained by an authorised official of TC in original form (e.g. due to a customer sending a copy by post following an initial meeting) must instead be certified by one of the following from a GCC or FATF member state:

(a) A lawyer;
(b) A notary;
(c) A chartered/certified accountant;
(d) An official of a government ministry;
(e) An official of an embassy or consulate; or
(f) An official of another licensed financial institution or of an associate company of the licensee.

The individual making the above certification must give clear contact details (e.g. by attaching a business card or company stamp). TC must verify the identity of the person providing the certification through checking membership of a professional organisation (for lawyers or accountants), or through checking against databases/websites, or by direct phone or email contact.

Where no face-to-face contact takes place, TC must take additional measures in order to mitigate the potentially higher risk associated with such business. In particular, it must take measures:

(a) To ensure that the customer is the person they claim to be (this can be done through video conferencing); and
(b) To ensure that the address provided is genuinely the customers own address.

Financial services provided via post, telephone or internet pose greater challenges for customer identification and AML/CFT purposes. TC must prevent the misuse of technological developments in money laundering or terrorist financing schemes. It must also ensure that they comply with any e-commerce laws and/or CMA Modules issued fromtime to time.

4.9 General Requirements for Securities

As part of its client due diligence procedures, especially for securities related business, TC shall establish the following:

Substantial Shareholding:

a) Any Person whose ownership alone or his ownership together with that of his minor children, or any other accounts under his disposal, or the ownership of any of his associate or affiliate companies amounts to 5% or more of any listed security of a joint stock company, must notify the licensed exchange forthwith, which must in turn notify the CMA of this fact and the CMA may declare the name of the Person who owns such stake.

b) All persons whose ownership alone or whose ownership together with that of their minor children, or the accounts standing under their disposal amounts to 5% or more of any listed

security must conclude all transactions on such security on a licensed exchange in Saudi Arabia.

c) All persons must obtain CMA's prior written approval to execute any order that will bring their ownership alone or their ownership together with their minor children, or the accounts standing under their disposal to 10% or more in any listed security. Any further increase of 1% or more shall also be subject to CMA prior written approval.

d) Without prejudice to any greater penalty prescribed under the AML Law or any other laws, a breach of the provisions of the above noted points shall result in the cancellation of the transaction, and the Person in breach must bear all costs arising in this connection.

The customer is responsible to inform TC regarding changes listed above. As andwhen any customer intimates TC in this regard, the MLRO shall undertake necessary actions, as specified above.

4.10 Requirements for Offering

a) No Security shall be offered for public subscription in Saudi Arabia unless the issuing company is duly incorporated under the laws of Saudi Arabia, or the laws of its country of incorporation, as the case may be, satisfying all terms and conditions governing the public offering of Securities in Saudi Arabia, and abiding by the conditions and requirements stipulated under the Saudi Companies Law and the Disclosure Standards in force in Kingdom of Saudi Arabia.

b) No Security issued to the bearer shall be offered, listed, traded or deposited on a Licensed Exchange.

4.11 Requirements for Deposit

No Security shall be accepted in the Depository Centre in Saudi Arabia unless its authenticity is approved by the concerned shares registrar, and the client shall provide the Depository Centre with any amendment or change, which may occur in such particulars.

4.12 Acceptance of cash by TC fund companies

TC shall not receive cash amounts from clients. If the value of a transaction is paid for by cheque by a third party other than the purchaser, the identity of such third party shall be verified by the RMs/CRU.

4.13 Foreign Account Tax Compliance Act (FATCA)

The Foreign Account Tax Compliance Act (FATCA) requires all the Participating Foreign Financial Institutions (PFFIs) to provide the US Internal Revenue Service (IRS) or the local regulations under an Intergovernmental Agreement (IGA) with information about financial accounts held by US taxpayers, or by foreign entities in which US taxpayers hold a substantial ownership interest (above 20% for IGA and PFFIs). The objective is to capture information on US

persons who use non- US accounts and funds to evade their US tax obligations.

TC shall undertake the following key steps in this regard:

a) Registered with the IRS, thereby obtaining a Global Intermediary Identification Number ("GIIN");
b) Update its KYC documentation incorporating FATCA requirements; and
c) The systems have been updated to incorporate the reporting, withholding and due diligence requirements.

4.14 Ensuring compliance with AML requirements as issued from time to time

Reasonable steps must be taken to ensure that up-to-date copies of the identification documents (as specified throughout Section 4) are received and maintained. TC requires all its clients to provide up-to-date identification documents and information.

The RMs/CRU must review and update their CDD information at least every three years. If, upon performing such a review, copies of identification documents are out of date, the RMs/CRU must take steps to obtain updated copies as soon as possible.

List of clients with overdue and/or expired KYC documents, if any, would be reported by the MLRO to the senior management, as part of the quarterly submission.

4.15 Customer Risk Profile

TC must conduct risk assessment of its customers during the establishment of the business relationship as well as throughout the course of that relationship.

TC must establish an appropriate set of risk factors which, among others, include:

a) Country risk: Customers with residence in or connection with high risk jurisdictions;
b) Customer risk: type of customers e.g. natural person, legal person structure, status as PEP, charity entity, club,financial institution, government entity;
c) Products, services and transactions risk; and
d) Delivery/distribution channel risk: The distribution channel for products may alter the risk profile of a customer.

This may include sales through online, postal or telephone channel where a non-face-to-face account opening approach is used. Distribution or sale of products through intermediaries may also increase risk as the business relationship between the customer and the bank becomes indirect.

Upon the initial acceptance of the customer, TC must regularly review, especially when there is a change in the customer risk profile, and update the customer's risk profile based on their level of ML/TF.

5. AML Systems and Controls

5.1 Risk Based Monitoring

Taking into account the number of clients, transactions and complexity of its business, TC shall deploy a risk- based AML monitoring system to identify:

a) Transactions which do not appear to have a clear purpose or which make no obvious economic sense;

b) Significant or large transactions not consistent with the normal or expected behaviour of a client; and

c) Unusual patterns of activity or trends (relative to other clients of the same profile or of similar types of transactions,for instance because of differences in terms of volumes, transaction type, or flows to or from certain countries), oractivity outside the expected or regular pattern of a client's account activity and generate reports to ease monitoring.

5.2 Unusual Transactions or Client Behaviour

Where a significant or abnormal transaction is identified through the System, the RMs/CRU must verify the source of funds for such transactions, particularly where the transactions are above the occasional transactions threshold

Furthermore, the MLRO or DMLRO must examine the background and purpose to those transactions and document their findings. The documents relating to these findings must be maintained for ten years from the date when the transaction was completed.

In case of a significant, unexpected or unexplained change in client activity or when an existing client closes one account and opens another, the RMs/CRU must review its client identity information and update the internal records accordingly. Where the information available falls short of the requirements the missing or out of date information must be obtained and re-verified with the client.

5.3 On-going Monitoring

TC must take reasonable steps to:

a) Scrutinize transactions undertaken throughout the course of that relationship to ensure that transactions being conducted are consistent with TC's knowledge of the customer, their business risk and risk profile; and

b) Ensure that they receive and maintain up-to-date and relevant copies of the identification documents specified, by undertaking reviews of existing records, particularly for higher risk categories of customers. TC must require all customers to provide up-to-date identification documents in their standard terms and conditions of business.

5.4 Frauds - General Requirements for Detection and Prevention

Fraud may arise from internal sources originating from changes or weaknesses to processes, products and internal systems and controls. Fraud can also arise from external sources, for instance through false invoicing or advance fee frauds.

TC shall ensure allocation of appropriate resources as well as having in place adequate systems and controls to deter, detect, and record instances of fraud or attempted fraud. Monitoring systems should be able to measure fraud patterns that might reveal a series of related fraud incidents.

TC would ensure the effective segregation of functions and responsibilities, between different individuals and departments, such that the possibility of financial crime is reduced and that no single individual is able to initiate process and control a transaction.

TC shall provide regular training to its management and staff, to make them aware of potential fraud risks. Any actual or attempted fraud incident (however small) must be reported to the MLRO immediately.

5.5 Money Transfers and Alternative Remittances

Outward Transfers

The OPD must include all the required originator information and required beneficiary information details with the accompanying electronic transfers of funds they make on behalf of their clients. Non-routine transfers must not be batched, if batching increases the risks of money laundering or terrorist financing. This obligation does not apply where the transfer is made by a bank acting as principal or acting on behalf of another bank as principal such as in the case of payment of spot foreign exchange transactions.

Inward Transfers

The OPD must:

a) Maintain records of all originator information received with an inward transfer; and

b) Carefully scrutinize inward transfers which do not contain originator information (i.e. full name, address and accountnumber or a unique client identification number). Such transfers must be presumed as 'suspicious transactions' and passed to the MLRO for review for determination as to possible filing of an STR, unless (a), the originating institution is able to promptly (i.e. within two business days) advise TC in writing of the originator information upon TC's request; or (b) the originating institution and TC are acting on their own behalf (as principals).

Cross-Border Qualifying Wire Transfers

Information accompanying all qualifying wire transfers must always contain:

a) The name of the originator;
b) The originator account number where such an account is used to process the transaction;
c) The originator's address, or national identity number, or client identification number, or date and place of birth;
d) The name of the beneficiary; and
e) The beneficiary account number where such an account is used to process the transaction.

In the absence of an account, a unique transaction reference number should be included which permits traceability of the transaction.

Where several individual cross-border wire transfers from a single originator are bundled in a batch file for transmission to beneficiaries, they may be exempted from the requirements stated above in respect of originator information, provided that they include the originator's account number or unique transaction reference number and the batch file contains required and accurate originator information, and full beneficiary information, that is fully traceable within the beneficiary country.

Domestic Wire Transfers

Information accompanying domestic wire transfers must also include originator information as indicated for cross- border wire transfers, unless this information can be made available to the beneficiary financial institution and the CMA by other means. In this latter case, the account number or a unique transaction reference number may only be included, provided that this number or identifier will permit the transaction to be traced back to the originator or the beneficiary.

The information should be made available by the originating financial institution within three business days of receiving the request either from the beneficiary financial institution or from the CMA.

It is not necessary for the recipient institution to pass the originator information on to the beneficiary. The obligation is discharged simply by notifying the beneficiary financial institution of the originator information at the time the transfer is made.

Responsibilities of TC as the originator:

a) It shall ensure that wire transfers contain required and accurate originator information, and required beneficiary information;
b) It shall maintain all originator and beneficiary information; and
c) It shall not execute the wire transfer if it does not comply with the above requirements.

Responsibilities of TC as an intermediary

a) For cross-border wire transfers, when TC is processing an intermediary element of chains of wire transfers it shall ensure that all originator and beneficiary information that accompanies

a wire transfer is retained. Where technical limitations prevent the required originator or beneficiary information accompanying a cross-border wire transfer from remaining with a related domestic wire transfer, a record must be kept by TC, for at least ten years. TC must take reasonable measures to identify cross-border wire transfers that lack required originator information or required beneficiary information. Such measures must be consistent with straight-throughprocessing; and

b) TC shall not execute a wire transfer lacking required originator or required beneficiary information; and takeappropriate follow-up action.

Responsibilities of TC as a Beneficiary

a) It shall take reasonable measures to identify cross-border wire transfers that lack required originator or required beneficiary information. Such measures may include post-event monitoring or real-time monitoring;

b) It shall verify the identity of the beneficiary and maintain this information; and

c) TC shall not execute a wire transfer lacking required originator or required beneficiary information, and takeappropriate follow-up action.

Remittances on behalf of Money or Value Transfer Service (MVTS) Providers

TC as a matter of policy shall not engage with any MVTS Providers to effect the transfer of funds for a client to a person or organization in another country.

6. AML Monitoring

6.1 Internal Reporting

Staff who handle client business/transactions (or are managerially responsible for such staff) must make a report promptly to the MLRO, if they know or suspect that a client (or a person on whose behalf a client may be acting) is engaged in money laundering or terrorism financing, or if the transaction or the client's conduct otherwise appears unusual or suspicious. Disciplinary action, in consultation with the Human Resources Department, could be undertaken on staff who fails, without reasonable excuse, to make such a report.

Where the staff consults / discusses the case with his/her line managers before sending a report to the MLRO, such review process must not be used to prevent reports reaching the MLRO, where staff have stated that they have knowledge or suspicion that a transaction may involve money laundering or terrorist financing.

Refer Appendix C for the Internal STR Form which is to be used for reporting a suspicious case to the MLRO.

6.2 External Reporting

All the internal suspicious activity reports would be first considered by the MLRO (or his duly authorized delegate). Having considered the report and any other relevant information the MLRO (or his duly authorized delegate), if he/she still suspects that a person has been engaged in money laundering or terrorism financing, or the activity concerned is otherwise still regarded as suspicious, must report the fact promptly to the GDFI using STR. Where no report is made, the MLRO must document the reasons.

TC:

a) Requires the MLRO to consider internal reports in the light of all relevant information accessible to or reasonably obtainable by the MLRO;
b) Permits the MLRO to have access to any information, including know your client information, in the Group's possession which could be relevant; and
c) Where the MLRO, or his duly authorized delegate, suspects that a person has been engaged in money laundering or terrorist financing, a report should be made by the MLRO, which is not subject to the consent or approval of any other person.

All actual or attempted suspicious transactions must be reported. This reporting requirement applies regardless of whether the transaction involves tax matters.

The MLRO must retain all relevant details of STRs submitted to the relevant authorities for at least ten years.

TC, its Directors, officers and employees must not warn or inform ('tipping off') their clients, the beneficial owner or other subjects of the STR when information relating to them is being reported to the relevant authorities. In cases where TC form a suspicion that transactions relate to money laundering or terrorist financing, they must take into account the risk of tipping-off when performing the CDD process. If TC reasonably believes that performing the CDD process will tip-off the customer or potential customer, it may choose not to pursue that process and must file an STR.

6.3 Investigation Process

All suspicious activities identified will be entered into the STR Form by the MLRO.

Investigations must be completed as soon as possible but no later than thirty days from when the MLRO becomes aware of the issue. The process followed by the MLRO is outlined below:

Initial Assessment

An initial assessment is conducted by the MLRO to determine if a full investigation is required. If it is determined that the suspicious activity is not something that requires further review, a description of the steps taken will be entered into the STRs Tracking Log and the case will be closed. If it is determined that the matter needs further review, the MLRO will create a case file and commence a full investigation.

Investigation

Investigations must be thorough and include a historical account and transaction review, a review of KYC information, a review of other related accounts and relationships, and a review of public information related to the client or counterparties. All documentation reviewed during this step should be maintained in the case file. Once the review has been completed, the investigator will complete a STR Form which must include an explanation of the incident and the MLRO's recommendation, i.e. make a report to the GDFI at the Ministry of the Interior or not.

Senior Management Review

Investigation case files and STR Forms are then reviewed by a member of senior management to ensure the investigation report conforms to established standards, contains explanations supporting the decision to file a STR or to not file a STR, and is of the quality to withstand an intense review by an auditor, examiner, or in some cases a prosecutor.

Reporting

Following the satisfactory reviews noted above, a STR must be sent by the MLRO. The MLRO's decision must be their own, and should not be subject to the direction or approval of other parties within TC.

The relevant authorities are:

6.4 Tipping Off

Once an internal or external suspicion report has been made, it is a criminal offence for anyone to release information which is likely to prejudice an investigation. This means that under no circumstances are employees permitted to inform a client or any other person that a report has been made internally to the MLRO or externally to the GDFI.

6.5 AML Assessment

The MLRO shall conduct a detailed assessment of the effectiveness of its AML/CFT procedures, systems and controls at least once each calendar year. The results of the assessment are summarised by the MLRO and reported to the Audit and Risk Committee, the Board as well as Senior Management.

The scope of the review includes the following:

a) A report, containing the number of internal incidents and reports prepared, a breakdown of all the results of those internal reports and their outcomes for each segment of TC's business, and an analysis of whether controls or training need to be enhanced;
b) A report, indicating the number of external reports prepared and, where TC has made an internal report butnot made an external report, noting why no external report was made;
c) A sample test of compliance with client due diligence requirements, undertaken either by TC's internal auditor, its external auditor, or a consultancy firm approved by the CMA; and
d) A report as to the quality of TC's AML procedures, systems and controls, and compliance with the AMLLaw.

The reports referred to in a) and b) must be made by the MLRO. The sample testing required under c) must be undertaken either by TC's internal auditor, its external auditor or a consultancy firm approved by the CMA. The report required under d) must be made by the Company's auditor or a consultancy firm approved by the CMA and submitted to the AML /CFT unit of the Market Institution department at the CMA by June 30 of each year. The four reports listed above under a) to d) are to be submitted to the Board for it to review and commission any required remedial measures, and copied to Senior Management.

TC must ensure that the personnel conducting the review are qualified, skilled and have adequate experience to conduct such a review. At least two persons working on the report (one of whom should be the team leader) must have:

(a) A minimum of 5 years professional experience dealing with AML/CFT issues; and

(b) Formal AML/CFT training.

In addition to the requirements listed above, the following factors are also considered during the annual assessment:

a) Design and implementation of policies and procedures;

b) Number of breaches of internal policies and procedures reported to the MLRO;

c) Record keeping;

d) Design and implementation of AML and terrorist financing training;

e) Application of client on-boarding procedures;

f) Number of suspicious activity reports made to the MLRO; and

g) Summary of business issues and any deficiencies, conclusions and any recommendations for action.

The results of the said review shall be included in the annual report submitted by the MLRO to the Audit and Risk Committee and Board, for it to review and commission any required remedial measures, and is also copied to the Senior Management.

7. International Sanctions Policy

7.1 Sanctions

Sanctions are tools used by the governments, regulators and international organisations (such as the UN, EU, OFAC, etc.) to:

a) Limit the adverse consequences of a situation of international concern (for example, by denying access to military or paramilitary goods, or to goods, technologies or funding that are enabling the pursuit of programs such as the proliferation of weapons of mass destruction);
b) Seek to influence those responsible for giving rise to a situation of international concern to modify their behaviour(by motivating them to adopt different policies); and
c) Penalize those responsible (for example, by denying access to international travel or to the international financial system).

Sanctions are intended to deter a range of activities, such as terrorists, nuclear development and abuses of fundamental human rights. Sanctions affect the business operations of financial institutions and their clients by placing restrictions and controls on the movement of goods, services and funds.

Sanctions regimes may be subject to frequent and sometimes sudden change. They can also be imposed at any time by any country, international organization or supranational body, and in general the effect is immediate.

7.2 Sanctions Risk Management Policy and Procedures

TC is committed to comply with relevant economic and trade sanctions through identifying, mitigating and managing the risk. TC recognizes that failure to comply with relevant sanctions laws or to prevent or manage this risk would not only constitute a breach of legal and/or regulatory requirements, but would also represent a failure to abide by broader community expectations and could carry significant reputational damage, legal and regulatory action and financial loss for the Group.

TC's Board and Senior Management are committed to comply with all relevant sanctions laws. They expect all employees to be accountable and responsible for their actions and not to be involved in activities of non-compliance with sanctions requirements.

TC takes sanctions risk, to itself as well as to the wider community, very seriously and seeks to take all reasonable steps to minimize the risk of sanctions breaches within its network.

The following key principles govern TC's approach to sanctions:

a) TC aims to fully comply with the requirements of the applicable sanctions regimes. It shall forego any business that would breach the applicable sanctions regime.

b) In certain cases, TC may decide not to provide products or services even where it is permitted by law. These decisions may be guided by risk appetite, corporate social responsibility, business efficacy or reputational risk.
c) In carrying out its compliance obligations, TC relies on information provided to it by its clients and business partners unless it is aware or suspects that those clients and business partners, or the information provided, is unreliable or dishonest.
d) TC reports any breach of a sanctions regime to the appropriate authority in a timely manner and in accordance with the prevailing laws.

Requirements

a) TC shall act in accordance with industry guidelines for sanctions.
b) TC does not maintain banking relationships for designated individuals or entities.
c) TC shall have robust procedures to comply with the applicable sanctions requirements.
d) The MLRO shall screen for designated persons and entities through the Worldcheck System during the establishment of account opening, and throughout the course of the relationship.

Employee Obligations

a) If an employee suspects a potential breach of TC's obligations under the sanctions requirements, they must immediately report that potential breach to the MLRO.

b) Under no circumstances may an employee act to avoid sanctions obligations or detection of a transaction in breachof the applicable sanctions requirements. TC and its employees must not advise clients on how transactions should be structured or presented to evade applicable sanctions.

Consequences of Non-Compliance

Under no circumstances may an employee act to avoid sanctions obligations or detection of a transaction in breach of the applicable sanctions requirements. TC and its employees must not advise clients on how transactions should be structured or presented to evade applicable sanctions.

Non-compliance with the applicable sanctions requirements, may have severe repercussions to the respective employees (such as fines, imprisonment, termination of employment, etc.) and to TC (such as penalties, reputational damage, suspension of license, etc.).

8. Staff Training

TC shall take reasonable steps to provide periodic training and information to ensure that the staff who handle client transactions, or are managerially responsible for such transactions, are made aware of the following:

1. Their responsibilities under the AML Law and other relevant AML/CFT laws and regulations;
2. The identity and responsibilities of the MLRO and his deputy;
3. The potential consequences, both individual and corporate, of any breach of the AML Law and anyother relevant AML/CFT laws or regulations;
4. The AML/ CTF rules and regulation AML/CFT policies and procedures and any update on these laws, regulation P&P or ML/CT practices;
5. Money laundering and terrorist financing typologies and trends;
6. The type of client activity or transaction that may justify an internal STR;
7. The procedures for making an internal STRs; and
8. CDD measures with respect to establishing business relations with clients.

The above training requirements shall be provided to relevant new employees, and remain available for reference by all staff.

= All relevant new employees must receive AML/CFT training at least once a year. AML/CFT training must be up to date and relevant to TC activities and client base.

The MLRO must develop adequate screening procedures to ensure high standards when hiring employees.

9. RECORD KEEPING

9.1 CDD and Transaction Records

All departments must comply with the record-keeping requirements prescribed under the CMA's AML Law.

TC shall ensure to comply with the record keeping requirements contained in the relevant rules & regulations of the Authority and the company law and Saudi Stock Exchange (Tadawul), and shall keep a record of all client identification data and other information and documents obtained as part of the CDD process, account files and business correspondence, as well as all transaction records.

For Clients: TC shall maintain sufficient records to permit reconstruction of individual transactions (including the amounts and types of currencies involved) so as to provide, if necessary, evidence for prosecution of criminal activity.

TC shall keep the type of information regarding the accounts of the clients in particular the following:

a) details of the client and beneficial owner(s) (if any) of the account, and
a. all other CDD information required;
b. account details, including the volume of the funds flowing through the account;

For transactions: TC shall maintain records detailing the origin of the funds, the form in which the funds were provided or withdrawn, such as, cheques, transfer, the identity of the person undertaking the transaction, the destination of the funds, and the form of instruction and authorization.

TC shall ensure that all client and transaction records and information are available on a timely basis to the Authority.

All records on transactions, both domestic and international, shall be maintained by TC for at least ten years after the date of the transaction.

All CDD records, account files and business correspondence shall be kept by TC for at least ten years after the account is closed.

In situations where the records relate to on-going investigations or where records relate to transactions which have been the subject of a suspicious transaction report, they shall be retained until it is confirmed that the case has been closed even if this is still ongoing after 10 years.

Once the client account has been opened, the RMs/CRU shall scan all the CDD/KYC documents and save them in their server for easy reference going forward.

9.2 AML Records

The MLRO shall retain copies of the reports produced for their annual AML review, for at least ten years. The MLRO shall also maintain for ten years, reports made to, or by, the MLRO, and records showing how these reports were dealt with and what action, if any, was taken as a consequence of those reports.

9.3 Capital Market Services

TC shall retain copies of the reports produced for their annual compliance review, for at least ten years with records showing how these reports were dealt with and what action, if any, was taken as a consequence of those reports.

When required to deliver the original copy of a record concerning any transaction, or a document pertaining thereto before the expiry of the prescribed period, TC shall observe the following:

It shall maintain a complete copy of the delivered record or documents until the end of the period prescribed for maintaining the original records or documents; and

It shall maintain a record of the delivered documents.

9.4 Training Records

The Human Resources Department shall maintain for at least 10 years, records showing the dates when AML/CFT training was given, the nature of the training, and the names of the staff that received the training.

9.5 Access

All the above mentioned relevant records shall be made available for prompt and swift access by the regulatory authorities, as and when required.

10. NCCT Measures and Terrorist Financing

10.1 Special Measures for Non-Cooperative Countries or Territories (NCCTs)

TC must give special attention to any dealings it may have with entities or persons domiciled in countries or territories which are:

a) Identified by the FATF as being 'non-cooperative'; or

b) Notified to TC from time to time by the CMA.

Whenever transactions with such parties have no apparent economic or visible lawful purpose, their background and purpose must be re- examined and the findings documented. If suspicions remain about the transaction, these must be reported to the relevant authorities.

The RMs/CRU and MLRO shall apply enhanced due diligence measures to business relationships and transactions with natural and legal persons, and financial institutions, from countries where such measures are called for by the FATF. The type of enhanced due diligence measures applied must be effective and proportionate to the risks.

10.2 Terrorist Financing

TC must implement and comply with the United Nations Security Council resolutions relating to the prevention and suppression of terrorism financing. TC must freeze, without delay, the funds or other assets of, and to ensure that no funds or other assets are made available, directly or indirectly, to or for the benefit of, any person or entity either:

i. Designated by, or under the authority of, the United Nations Security Council under Chapter VII of the Charter of United Nations, including in accordance with resolution 1267(1999) and its successor resolutions as well as resolution 2178(2014); or

ii. Designated as pursuant to Resolution 1373(2001).

TC must comply in full with any rules or regulations issued by the CMA in connection with the provisions of the UN Security Council Anti-terrorism Resolution No. 1373 of 2001 ('UNSCR 1373'), including CMA rules.

The MLRO/DMLRO must report to the CMA details of:

a) Funds or other financial assets or economic resources held with them which may be the subject of Article 1,Paragraphs c) and d) of UNSCR 1373; and

b) All claims, whether actual or contingent, on persons and entities which may be the subject of Article 1, Paragraphs c) and d) of UNSCR 1373.

'Funds or other financial resources' includes, but are not limited to, the shares in any undertaking owned or controlled by the persons and entities referred to in Article 1, Paragraphs c) and d) of UNSCR 1373, and any associated dividends received.

All reports or notifications in this regard must be made to the CMA's AML / CFT unit Designated Persons and Entities

Without prejudice to the general duty of TC to exercise the utmost care when dealing with persons or entities who might come under Article 1, Paragraphs (c) and (d) of UNSCR 1373, TC must not deal with any persons or entities designated by the CMA as potentially linked to terrorist activity.

The SAMA / CMA from time to time issues various lists of designated persons and entities believed linked to terrorism. Names designated by Sama / CMA include persons and entities designated by the United Nations, under UN Security Council Resolution 1267 ('UNSCR 1267'). The MLRO shall verify that they have no dealings with these designated persons and entities, and report back their findings to the CMA.

The MLRO must report to the relevant authorities, details of any accounts or other dealings with designated persons and entities, and comply with any subsequent directions issued by the relevant authorities.

11. AML Guidance and Best Practices

The guidance mentioned below, issued key by international bodies, may also be referred to:

a) FATF Recommendations

The FATF Recommendations together with their associated interpretative notes and best practices papers issued by the FATF provide the basic framework for combating money laundering activities and the financing of terrorism. The principles established by these Recommendations shall be followed by TAM in all material respects, as representing best practices.

b) Basel Committee: Statement on Money Laundering and CDD for Banks

The Basel Committee on Banking Supervision issued a 'Statement of Principles' in October 2001 with which internationally active banks of member states are expected to comply. These papers cover identifying clients, avoiding suspicious transactions, and co-operating with law enforcement agencies.

c) Other Relevant Websites for Reference

Topics	Website
The Middle East North Africa Financial ActionTask Force	www.menafatf.org
The UN list of Designated Individuals	www.un.org/Docs/sc/committees/1267/1267ListEng.htm
The Egmont Group	www.egmontgroup.org
The United Nations	www.un.org/terrorism
The UN Counter-Terrorism Committee	www.un.org/Docs/sc/committees/1373/
The Wolfsburg Group	www.wolfsberg-principles.com
The Association of Certified AML Specialists	www.acams.org